
ICELAND
2011

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1. Overview of the system

Iceland has an insurance-based unemployment benefit system. Two kinds of housing benefit programmes are in existence. One, there is a rent benefit for tenants with low income and two, mortgage interest benefits are open to home owners. Means-tested family benefits are available to parents. The social security administration provides benefits for lone parents providing for two children or more. Financial assistance is available from local governments for those without other resources and that do not qualify for benefits from the central government and/or the social security system.

1.1. Average worker wage (AW)

The 2011 AW level is ISK 5 628 000¹.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2006-2007*, OECD, 2008, part 5, sections 2 and 3.

2. Unemployment insurance

2.1 Conditions for receipt

In order to qualify for unemployment benefits, one has to be between 16 and 70 years of age, willing and available to work, and must be resident of and settled in Iceland. He must have been registered unemployed for at least three days, but receives benefits from the first day.

2.1.1 Employment conditions

An employee must have worked for at least 3 months of the preceding 12 months to qualify for any benefits. In order to qualify for full benefits, he must have worked for the last 12 months. Part-timers qualify for proportionally reduced benefits.

2.1.2 Contribution conditions

Coincide with the employment conditions.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Benefits are paid in proportion to the number of hours worked in insured employment in the previous 12 months:

- The full benefit amount is ISK 161 523 per month.
- The minimum benefit amount is ISK 40 381 per month (25 per cent of full benefits).
- Parents receive a family supplement of ISK 6 461 per month (4 per cent of full benefits) per dependent child below 18 years of age.
- Since 2006, benefits are linked to previous employment income to an extent. After having received the general benefit amount for ten days the recipient is entitled to 70% of his employment income (average income in the six month period ending two months prior to unemployment), subject to a maximum of ISK 254 636 monthly, and for 65 days only. After that he will continue to receive the general benefits only, for the remainder of his entitlement period.

2.2.2 Income and earnings disregards

If a recipient has occasional employment for one or two days at a time, benefit is reduced in proportion to the number of hours worked.

2.3 Tax treatment of benefit

Benefits are subject to general income tax.

2.4 Benefit duration

Benefits are paid for a maximum of three consecutive years. A temporary provision provides a prolongation of one year for a person who has become unemployed after 1 March 2008.

2.5 Treatment of particular groups

2.5.1 Young persons

A job-seeker who has earned a minimum benefit entitlement and has also completed a period of study of no less than six months will be granted an assessment of these studies equivalent to 13 weeks of work. Part-time study does not provide increased entitlement.

2.5.2 Older workers

None.

3. Unemployment assistance

The central government, through its Labour Directorate, offers retraining courses and advice for unemployed persons. This is carried out in cooperation with local governments and various service organisations and is fully paid for out of central government funds. As a temporary measure to encourage employers to hire unemployed persons, employment may be partly financed for up to one year by central government.

4. Social assistance

A need-based subsistence benefit is paid as a last resort by local governments.

4.1 Conditions for receipt

To qualify, persons must be fully or partially unqualified for benefits from the central government or the Social Security Institute.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Financial assistance is the difference between the needs (the applicable amount) and the claiming household's resources. The applicable amount for the capital, Reykjavik, is shown below. Note that rates differ regionally.

Size of household	Applicable amount:
	recommended minimum monthly rate (in ISK)
Single persons	149 000
Couples	223 500

There are no allowances for dependent children. The resources include all gross family income. Excluded is income of children and all benefits paid in respect of children such as child support and family benefits, as well as mortgage interest rebates and rent benefits. The exemption is the lone parent benefit, which is included as family income in the same way as labour income, unemployment benefits, capital income, etc. Unemployed individuals living with parents are entitled to up to half assistance. In

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addition, grants/loans are available to beneficiaries of assistance to meet various expenses, such as funeral costs, dental bills, etc.

4.2.2 *Income and earnings disregards*

There are no disregards; there is a one-to-one means test including all gross family income.

4.3 ***Tax treatment of benefit***

Subject to general income tax.

4.4 ***Benefit duration***

Unlimited.

4.5 ***Treatment of particular groups***

None.

5. Housing benefits

There are two schemes for housing benefits, one for tenants and one for home owners. A) Rent benefits are available to households renting accommodations as long as no household member owns any other real estate. The central government finances the rent benefits partially but local authorities administer the benefits. B). Home owners can receive interest rebates to offset their mortgage payments. The cost of mortgage interest rebate is borne by central government.

5.1 Conditions for receipt

Rent benefits are available to tenants with a certified rental agreement of at least 6 months' duration. The rented accommodation must be a self-contained unit, such that e.g. rooms in dormitories on campuses are excluded. Rent benefits are means-tested. Rent benefits are targeted on low-income tenants and are therefore subject to an income test.

Mortgage interest rebate is open to all home owners with mortgage payments but is subject to limits on net assets, total mortgage liabilities and a maximum interest payment amount.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Rent benefit. The rent benefit is a fixed amount per claiming household of ISK 13 500 per month, with additional ISK 14 000 per month for one dependent child, plus ISK 8 500 per month for a second child, plus ISK 5 500 per month for the third and additional children. The children must have a legal residence in the rental home. In addition, 15 per cent of the rent above ISK 20 000 and below ISK 50 000 is added to the above amounts. One per cent of the household's previous year's taxable income in excess of ISK 2 000 000 of all non-studying household members 20 years or older is deducted per month of payment of rent benefit. 25 per cent of the household's annual net wealth exceeding ISK 6 063 975 is counted as income in this respect. The final rent benefit can never be higher than ISK 46 000 per month or half of paid rent, whichever is lower.

Mortgage interest rebate. This programme is in effect a part of the tax system. The rebate is based on interest paid on a home purchase loan. The following constraints apply to interest rebates paid in 2012, based on tax returns for 2011: (1) They cannot exceed 7 per cent of the remaining debt balance incurred in buying a home for one's own use. (2) The maximum amount of interest payments that qualify for an interest rebate calculation is ISK 0.8 million for an individual, ISK 1.0 million for a lone parent and ISK 1.2 million for a couple. (3) 8 per cent of taxable income is subtracted from the interest expense. (4) The rebates begin to be curtailed at a net worth threshold of ISK 4 million for a single individual and lone parent and at ISK 6.5 million for a couple and are eliminated altogether at a 60 per cent higher amount. (5) The maximum amounts of interest rebates are ISK 0.4 million for an individual, ISK 0.5 million for a lone parent and ISK 0.6 million for a couple. In 2012 an additional condition was introduced to this scheme: the rebate is not paid to those who have not actually paid their due interest on mortgage debt of the preceding year.

As a temporary measure to assist indebted households, effective in 2011 and 2012, an additional interest rebate, called special interest subsidy, is paid to home-owners. The addition amounts to 0.6% of debt due to a purchase of a home. The maximum value of the rebate is ISK 200 000 for a single individual and ISK 300 000 for a single parent and a couple. The amount is reduced proportionally for net worth above ISK 10 million for a single person and ISK 15 million for a single parent and a couple. The upper threshold is ISK 20 million for a single individual and ISK 30 million for a single parent and a couple.

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The sum of the ordinary and the temporary rebate may not exceed interest payments on mortgage debt in the preceding year.

5.2.2 *Income and earnings disregards*

Full rent benefits are paid to families with combined annual income of up to ISK 2 million. 1 per cent of income in excess of this threshold would be deducted from benefits on a monthly basis.

The temporary special interest subsidy is not tested against income.

5.3 ***Tax treatment of benefit***

Rent benefit. Not taxed.

Mortgage interest rebate. Not taxed. Administered and paid through tax authorities.

5.4 ***Treatment of particular groups***

5.4.1 *Young persons*

None.

5.4.2 *Older workers*

None.

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6. Family benefits

Means-tested benefit for dependent children.

6.1 Conditions for receipt

To have a dependent child under 18 years of age.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The benefit amount per child and income limits depend on the household type.

Amounts paid in the stated year, based on income in the previous year (ISK)

	2008	2009	2010	2011	2012
Children under the age of eighteen					
First child	144.116	152.331	152.331	152.331	152.331
Each additional child	171.545	181.323	181.323	181.323	181.323
Additional benefit for children under the age of seven					
For each child under the age of seven	57.891	61.191	61.191	61.191	61.191
Benefits for single parents					
First child	240.034	253.716	253.716	253.716	253.716
Each additional child	246.227	260.262	260.262	260.262	260.262
Income threshold for benefit curtailment					
For couples	2.880.000	3.600.000	3.600.000	3.600.000	3.600.000
For single parent	1.440.000	1.800.000	1.800.000	1.800.000	1.800.000
Curtailment of benefits					
For one child	2%	2%	2%	3%	3%
For two children	5%	5%	5%	5%	5%
For three children or more	7%	7%	7%	7%	7%

3%

Additional benefit for children under the age of seven	.	.	.	3%
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Note that child benefits paid in 2012 are based on information from 2011 tax returns.

6.2.2 Income and earnings disregards

The general benefit based on 2010 income for parents with one child is reduced by 3 per cent of income above the income limit, by 5 per cent for parents with 2 children and by 7 per cent for parents with 3 or more children. The additional benefit for children under 7 years of age is reduced by 3% for each child, of income above the limit.

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6.3 *Tax treatment of benefit*

Not taxable.

6.4 *Treatment of particular groups*

See below for treatment of lone parents.

7. **Childcare for pre-school children**

Pre-schools are available to all children who have not reached the age at which compulsory school begins, i.e. in autumn of the year in which the child turns six. However, very few pre-schools accept children less than one year old, and the youngest children are usually about two years of age. Before that they may be cared for by daymothers.

7.1 ***Out-of-pocket childcare fees paid by parents***

Local municipalities pay for the construction and the operation of pre-primary schools. Parents contribute a substantial amount towards operating costs at the pre-primary level. The share that the parents contribute varies from one municipality to another and often depends on the circumstances of the parents like in some municipalities lone parents and students pay substantially lower fees than others and some offer reduction to parents who have two or more children attending schools at the pre-primary level. On the whole, parents contribute about a third of the operating costs of pre-primary schools.

The tariff of Reykjavík pre-schools depends on the number of hours and on the marital and economic status of the parents. The tariff is divided into two categories:

- I. No discount. Applies for married parents and parents who live together.
- II. Discount tariff. Applies for families where both parents are students; for lone parents; parent which is at least 75 per cent invalid; employees of Reykjavik Preschools.

To qualify for category II, studying parents must study full-time. This category is also for full-time students in junior college and vocational schools. Evening classes are not valid. Families where only one parents is student are not any longer entitled to discount in 2011.

The tariff of Reykjavík preschools (monthly tariff, ISK), valid 1 January 1 2011 until 31 December 2011

	General tariff		Rate for five-year old children	
Hours	Category I	Category II	Category I	Category II
4	8 922	4 470	3 219	2 106
5	14 743	9 178	9 040	6 814
6	16 644	9 966	10 941	7 602
7	19 863	12 072	14 160	9 708
8	21 764	12 860	16 061	10 496
9	32 264	17 213	26 561	14 849

Meals are included in this data. Parents with more than one child are entitled to 75% discount of tuition fee for second child and 100% discount for third child or more children. Parents must pay full meal fee for every child (ISK 6 556 monthly for >6 hours care per day.) This discount rule applies equally for children in a preschool who have siblings in a family day-care or in a private preschool, see the tariff for subsidy of day -care fees.

7.2 *Child-care benefits*

Municipalities subsidise child-care with day-care parents.

7.2.1 *Conditions for receipt*

Generally, the conditions for receiving such a subsidy are that the parent or parents are unable to place their children in pre-schools or day-care centres but must place them with day-care parents.

7.2.2 *Calculation of benefit amount*

The following subsidy applies in Reykjavík. Subsidies vary from one municipality to another. Valid from 1 January 2011 until 31 December 2011.

Hours of care	Both parents living together	Lone parent, invalid parent or both parents studying		Sibling supplement
4	18 500	25 340		4 880
5	23 125	31 675		6 100
6	27 750	38 010		7 320
7	32 375	44 345		8 540
8	37 000	50 680		9 760
9	38.157	54 581		10 980

7.2.2.1 *Calculation of gross benefit*

See above.

7.2.2.2 *Income and earnings disregards*

None.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Subsidy is not subject to income tax nor does it interact with other benefits.

7.2.4 *Treatment of particular groups*

8. **Employment-conditional benefits**

None.

9. **Lone-parent benefits**

Lone parents with two or more children are entitled to additional benefits from the Social Security Administration, the so-called mother/fatherhood allowance.

9.1 *Conditions for receipt*

To be living alone with at least two children under 18 years of age.

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

Lone parent benefits	Yearly amounts
2 children	78 784
3 children	204 840

9.2.2 *Income and earnings disregards*

The benefit is not income tested.

9.3 *Tax treatment of benefit*

Subject to general income tax.

9.4 *Treatment of particular groups*

A support benefit is paid to parents with children that are disabled or suffering from a long-term illness and in need of continuous stay-at-home care. The benefit amounts to ISK 126 667 monthly in 2011.

10. Tax system

Iceland has a dual income tax system. Personal income tax for central and local government is collected together on a withheld basis. Capital income tax is paid to central government, partly on a withheld basis.

10.1 Income tax

In 2010, the personal income tax was reformed into a triple-rate system for the first time since the adoption of the withheld tax system (PAYE) in 1988.

10.1.1 Tax allowances and credits

- *Relief(s) for compulsory pension contributions:* Since January 2000, the compulsory payment by employees to pension funds, amounting to 4 per cent of wages, is deductible. In addition, a voluntary payment of up to 4 per cent of wages may also be deducted. As the additional contribution is optional, it is considered to be a non-standard relief.
- *Work-related expenses:* earnings-related transportation costs (net of fringe benefits) are deductible up to a certain limit.
- There is a basic tax credit of ISK 530 466 per earner annually or ISK 44 205 monthly. The credit is subtracted from central and local government taxes; unused portions are not refundable. Seamen get an additional tax credit, calculated per diem for number of days at sea. The per diem amount in 2011 is 740 ISK and is credited against the central government tax.
- *Standard marital status relief:* Married couples may utilise up to 100 per cent of each spouse's unutilised portion of his/her basic tax credit.

10.1.2 The definition of taxable income

Category A comprises wages and salaries, including presumptive employment income of the self-employed (see below), employment-related benefits, old-age pensions, social security payments, grants, payments to copyright holders, royalties, etc. *Category B* comprises income from a business and income from an independent economic activity. *Category C* comprises investment income such as dividends, interest and capital gains. Income in category C is taxed at a flat 20 per cent rate with a tax free limit of ISK 100 000.

10.1.3 The tax schedule

- The central government personal income tax has three rates in 2011. The bottom rate of 22.90 per cent applies to personal income up to ISK 209 400 per month; the middle rate is 25.8 per cent for the next ISK 471 150 and the top rate is 31.8 per cent for incomes above ISK 680 550.
- The local government personal income tax average rate is 14.41 per cent. The tax base is the same as the central government's (categories A and B).
- The central and local government personal income tax is collected together on a monthly withheld basis. The schedule for the sum of the two rates is: 37.31 per cent, 40.21 per cent and 46.21 per cent. The personal tax credit of ISK 44 205 produces a general tax free limit of ISK 118 482 monthly.

10.2 *Treatment of family income*

In general, the tax unit is the individual. A special rule applies for taxable income in the third bracket (above ISK 8 166 600 annually), if the spouse's taxable income is below ISK 8 166 600. A part of the income above ISK 8 166 600 is then taxed in the second bracket. The part is determined by half of the amount by which the spouses income is below ISK 8 166 600, subject to a maximum of ISK 2 826 900.

Non-wage income of married couples is taxed jointly.

10.3 *Social security contribution schedule*

In 2011, employees with annual taxable income above ISK 1 421 780 pay two fixed annual fees. ISK 9 182 goes to the Construction Fund for the Elderly and ISK 18 800 goes to the Treasury, but intended to finance the National Broadcasting Service. Persons less than 16 years old and 70 years or older are exempt as well as old-age pensioners or invalids residing in old-age, nursing homes or special care establishments.

Employers pay a social security contribution on their total payroll cost to the Treasury . The rate was raised on 1 January 2010 from 7.00% to 8.65% and is unchanged in 2011. The proceeds go towards – but do not fully finance – the central government's costs of old age, disability, health care and childbirth leave, the remainder of the cost coming from general tax revenue.

Pension funds: Employees aged 16-70 years must be members of a pension fund and contribute 4 per cent of their wages, generally deducted on a withholding basis. The employer counter-contributes at least another 8 per cent. Both contributions are deductible from income before tax.

In addition, employees can contribute up to 4 per cent of their income to a pension fund on an optional basis and this contribution is also tax-exempt. If an employee chooses to take this option the employer will generally match the employee's contribution by 2 per cent of the employee's wages.

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

Unemployment benefits are paid proportional to the time spent in paid employment. (See section on unemployment benefits.)

11.2 *Special tax and social security contribution rules for part-time work*

None.

12.1 Policy changes introduced: 2nd July 2011 – 1st July 2012

In late 2011, a number of policy changes for 2012 were introduced, mainly intended to raise additional revenue for the government. The main changes to direct taxation of individuals and employers are:

The deductible maximum for the voluntary, supplementary pension fund contribution of individuals is lowered from 4% to 2% temporarily in 2012-2014.

A new 5.45% broadly based payroll tax, on financial sector companies only, is adopted on 1 January 2012.

An additional top bracket of 2.0% will be adopted to the net wealth tax, applicable to net assets above ISK 150 million for individuals and above ISK 200 million for couples.

The fourth phase of the special provision to withdraw voluntary, supplementary pension fund assets is in effect in January - September 2012, with a raised maximum to ISK 6,250 thousand per individual.